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Attracting cross-border venture capital: the role of a local investor

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Examining an increasingly prevalent but under-researched phenomenon, cross-border venture capital investments, it is observed that local venture capitalists typically invest first, followed by foreign venture capitalists in later rounds. A model is developed that explains the role of a domestic venture capital investor in attracting foreign investors and which also accounts for the impact of various circumstances on the importance of this role. In our model based on analysis of nine cross-border venture capital-backed companies, local venture capitalists have several important roles in increasing the venture's cross-border investment readiness including advice to operational management and contributing contacts and local market knowledge. The importance of these roles is mitigated if the entrepreneurial team is highly experienced or if the home market is not important for the venture. The prominence of the local investor has signalling value. Finally, the local investor's international social capital facilitates the formation of cross-border syndicates. Overall, the model developed in the paper contributes to a better understanding of cross-border venture capital and in particular to the division of labour between domestic and foreign venture capitalists in international venture capital syndicates. The paper also contributes to the emerging literature on international social capital.

Keywords: cross-border venture capital; cross-border investment readiness; international social capital.

1. Introduction

Cross-border venture capital investments, that is, investments made by venture capital investors in portfolio companies located in other countries than the country from which the investment is managed, have become an increasingly prevalent phenomenon (Baygan and Freudenberg 2000, Gompers and Lerner 2003, Maula and Mäkelä 2003, Bottazzi *et al.* 2004, Mäkelä and Maula 2005, Wright *et al.* 2005, Deloitte 2006, Mäkelä and Maula 2006). In 2006, almost 70% of European venture capital firms stated that they will expand their international investment focus over the next 5 years (Deloitte 2006). Cross-border venture capital investments have played a particularly important role in growth-oriented technology companies in several markets with limited domestic supply of venture capital (cf. Baygan and Freudenberg 2000, Organisation for Economic Co-operation and Development [OECD] 2001, 2002, Bassolino 2002, Dossani and Kenney 2002, Kenney *et al.* 2002a,b, Mayer *et al.* 2005).¹ For internationalizing ventures, cross-border venture capital investors frequently play an important role in supporting internationalization (Mäkelä and Maula 2005) and opening foreign exit opportunities (Jäskeläinen and Maula 2005, Hursti and Maula 2007). However, investments spanning national borders often with

different legislation, language, culture and long distances are not unproblematic (Mäkelä and Maula 2006). In particular, it is often very challenging for ventures to attract investments from foreign venture capitalists. Given the important role of international investors in many markets and for many companies, understanding how companies can access international finance with the help of their local partners is an important question with implications to both venturing and venture capital (Wright *et al.* 2005) as well as to the emerging theory on internationalization and international social capital (Autio 2005, Autio *et al.* 2005).

Although recent research has increasingly acknowledged the importance of cross-border venture capital as an important phenomenon of the venture capital industry, there is little research examining the determinants of cross-border investments.² In particular, prior research falls short in explaining how ventures are able to attract cross-border investors to invest in them given the well-known preference of Venture Capitalists (VCs) to invest in their close vicinity (Gupta and Sapienza 1992, Sorenson and Stuart 2001) and what role do their local venture capital investors play in this process? More generally, the theoretical understanding on how international social capital – and, in particular, international ‘weak ties’ (Granovetter 1973) available through domestic partners – can help to access foreign resources is still in infancy (Autio 2005, Autio *et al.* 2005). To contribute to filling this evident gap in international social capital in general, and the role of domestic investors in attracting foreign investors in particular, we focus this paper on answering the question ‘What is the role of a local venture capital investor in obtaining cross-border venture capital investors?’.

By addressing this research question and developing a model which explains the role of a domestic venture capital investor in attracting foreign investors and which also accounts for the impact of various circumstances on the importance of this role, we contribute to several streams of prior research including venture capitalist investment decision-making and syndication. Although venture capitalists’ investment decision-making process and criteria has received abundant attention on a general level (Wells 1974, Poindexter 1976, Tyebjee and Bruno 1984, MacMillan *et al.* 1985, 1987, Robinson 1987, Muzyka *et al.* 1996, Zacharakis and Shepherd 2001), prior research is very limited concerning the factors that influence the decision of these investors to make cross-border investments. In particular, the role of prior investors in this decision making has been ignored. Similarly, studies on venture capital syndication (Lerner 1994, Lockett and Wright 2001, Manigart *et al.* 2006) and value-added (MacMillan *et al.* 1989, Sapienza 1992, Sapienza *et al.* 1996) have focused on domestic investments and syndicates.

Given the dearth of prior research examining the role of local investors in attracting foreign investors, we follow an inductive approach influenced by the grounded theory approach (Glaser and Strauss 1967, Strauss and Corbin 1998) and follow the procedures suggested by Eisenhardt (1989) and by Strauss and Corbin (1998). Accordingly, we derive our insights from extensive processing of field data. To enable the ‘replication logic’ (Eisenhardt 1989), we study multiple cases. The empirical context of our study is Finland, an innovative, small and open economy with a rapidly internationalizing community of technology-based new ventures.

The structure of the rest of the paper is as follows. We first review prior literature to establish a frame of reference for our analysis. Then we discuss the selected methodology and describe our case data. We then proceed to formulate insights in

the form of an integrated model of propositions. Finally, we discuss implications for managers and for future research.

2. Prior literature

Prior to describing our inductive research, and to place our findings in context, we now provide a brief review of the literature to which we attempt to contribute through our case analysis and model development. We first provide a brief review of the existing literature on venture capital with particular attention to cross-border venture capital and syndication. Second, we briefly review the existing literature on internationalization with a particular view on the role of international social capital in facilitating it.

2.1 *Venture capital finance and syndication*

Venture capital as a form of entrepreneurial finance has received increasing attention in the literature. Building on a general understanding of what venture capital is (Sahlman 1990) and what venture capitalists do (Gorman and Sahlman 1989), the research on venture capital has expanded and focused on different phases and facets of venture capital finance. A few particular aspects of venture capital are particularly important for this paper. First, venture capital finance is typically staged so that one company receives multiple investment rounds as it progresses from an early stage company to later stages towards a self-sustaining company (Sahlman 1990, Gompers 1995). It is common that new investors are invited to join new investment rounds (Lockett and Wright 2001). Second, in these investment rounds, it is common that multiple investors share the investment, i.e. they *syndicate* the investment (Bygrave 1987, Lerner 1994, Manigart *et al.* 2006). Some of the common motives for syndication are risk reduction through diversification and shared information in selection, pooling of resources, and accessing and reciprocating deal flow (cf. Bygrave 1987, Lerner 1994, Lockett and Wright 2001, Wright and Lockett 2003, Maula *et al.* 2005, Manigart *et al.* 2006).

In syndication, investors typically divide their roles so that one investor acts as a lead investor and takes a more active monitoring and support role whereas other investors often take less active roles (Wright and Lockett 2003, Jääskeläinen *et al.* 2006). It is also quite common that venture capitalists reciprocate so that they take turns in inviting others to join and in acting as a lead (Wright and Lockett 2003). However, there are differences between investors so that some want to act as a lead investor in their investments whereas others have a more passive stance. Although important, the literature on the formation of syndicates and the division of labour in them is still in relative infancy (Wright and Lockett 2003). There is still relatively little research on what influences the choice of a syndicate partner. In particular, the research on syndication in an international context has not been examined in prior research, perhaps given the newness of research on cross-border venture capital in general (Wright *et al.* 2005).

2.2 *Internationalization and international social capital*

Another stream of literature that is particularly important for this paper is the research on internationalization of firms and the role of (international) social capital in it (cf. Johanson and Mattsson 1988, Andersen and Buvik 2002, Arenius 2002, Arenius and Autio 2002, Autio *et al.* 2005). By social capital, we refer to the actual and potential resources that are embedded in and available through the network of relationships possessed by a social actor – an individual or an organization (Nahapiet and Ghoshal 1998), and by international social capital, we refer to the cross-national manifestations of social capital (Autio *et al.* 2005). International networks can help in internationalizing firms by exposing them to opportunities, learning, and enabling the benefits of pooling resources (Chetty and Holm 2000). For instance, Chen and Chen (1998) showed that network linkages are important in determining the choice of location of foreign direct investment, and Banerji and Sambharya's (1996) results showed that keiretsu affiliation affects internationalization patterns of Japanese automobile ancillary manufacturers.

Research on social capital that discusses network-related issues (Coleman 1990, Nahapiet and Ghoshal 1998) is relevant for research on internationalizing firms (Yli-Renko *et al.* 2002, Autio *et al.* 2005). Researchers of domestic networks have found that the personal contact networks of founders and employees are the basis for developing a young firm's exchange relationships (Birley 1985, Aldrich and Zimmer 1986, Steier and Greenwood 1995). Managers' external ties promote conformity between firms (Geletkanycz and Hambrick 1997) and can thus be used to obtain information about what behaviour is acceptable in foreign markets.

Research has showed that growing ventures exploit their managers' social capital (cf. Coleman 1990, Nahapiet and Ghoshal 1998, Adler and Kwon 2002) in forming alliances (Eisenhardt and Schoonhoven 1996). This pattern may be considered within the realm of internationalization as well. McDougall *et al.* (1994) argued that direct personal contacts in foreign markets could be used to obtain advice, identify new business opportunities, obtain assistance in foreign negotiations, and open doors in new markets. Yli-Renko *et al.* (2002), for their part, found that social capital promotes the acquisition and creation of knowledge, and that knowledge is a key resource that drives the international growth of technology-based new firms.

3. **Methods**

3.1 *Research setting*

Owing to the lack of prior research on the formation of cross-border venture capital syndicates and local investors' role in the process, we chose an inductive approach building on case studies (Eisenhardt 1989) and inspired by the grounded theory approach. While grounded theory is especially suitable for new research topics (Eisenhardt 1989), it could also provide a new view into a subject that has been previously studied (Hitt *et al.* 1998). The grounded theory method allows researchers to benefit from the quality of rich, qualitative data (Birkinshaw 1997). Furthermore, the use of comparative case studies has increased in recent years (Lichtenstein and Brush 2001). We study multiple cases so as to enable the 'replication logic' (Eisenhardt 1989, Eisenhardt and Graebner 2007). Using this approach, we first studied the cases

as independent ‘experiments’ (i.e. treating each case as a distinct experiment that stands on its own as an analytic unit (Eisenhardt and Graebner 2007)), advancing subsequently to cross-case analysis to contrast findings between cases.

To address the research question, we collected data from nine new ventures which had received cross-border or other venture capital investments. The second sampling criterion was that the companies were established in Finland. Finland as a country has a strong R&D base, but its home market is small for growth-oriented technology companies. The Finnish venture capital market is relatively young, but has grown rapidly during the past decade. The Finnish venture capital market has also internationalized rapidly with many venture capital firms opening offices abroad or syndicating internationally. In a study of cross-border venture capital in the OECD countries, Baygan and Freudenberg (2000) identified Finland as the third country after Ireland and Denmark in terms of the share of invested venture capital contributed by cross-border venture capitalists. Many of the largest rounds of venture capital investments made into Finnish high-technology ventures have involved cross-border venture capitalists. Based on the analysis of Baygan and Freudenberg (2000), 43% of all venture capital investments made in Finland in 1999 were foreign.

The unit of analysis in our study is the entity formed by an investee firm together with its local venture capital investors. When referring to the investee and investor firms, we use pseudonyms throughout the paper. In the sample, there are two companies – Pollux and Vega – that have no local investor. These ‘anomalies’ present interesting views into how they have managed to obtain cross-border investments without the participation of a local investor and why some firms do not have local investors. Analysing these two cases helped us to develop the understanding of the circumstances under which local investors have an important role in facilitating cross-border investments. For these reasons, it was considered valuable to include them in the analysis of this paper. It is worth noting that when judging the proposed effects from tables 2–4, one should not view these two firms as a part of the sample, because of the very fact that these two firms do not have a local investor and thus obviously cannot exhibit benefits from such investors.

Table 1 presents descriptive information of the case companies, investment rounds and interviews. The table epitomizes how local venture capitalists frequently precede cross-border venture capitalists as investors. We interviewed some respondents twice and made several interviews in some of the investor firms. There are 58 interviews in total in the study.

The cases were selected for this study on the condition that they had cross-border venture capital financing. Although all these ventures had begun to run businesses in a single country, Finland, such a sample, however, allows researchers to make ‘generalizations to theory’ that comprise the essence of the grounded theory method (Eisenhardt 1989, Strauss and Corbin 1998). We also believe that generalization possibilities in the other, ‘statistical’ sense of generalizing as used in theory-testing research can be suggested in many domains. Characteristic of a grounded theory inspired study, our paper leaves it to theory-testing research to determine more specifically the domain to which results can be generalized.

In the course of data collection, it became apparent that there was notable variation among the cases in the constructs of interest for our propositions. Identifying this variation was essential for our grounded theory inspired research as pursued from the postpositivistic paradigm (Lincoln and Guba 2000) of ours.

Table 1. Description of the case companies, investment rounds and cases and interviews.

<i>Venture</i>	<i>Founded</i>	<i>Industry</i>	<i>Round 1</i>	<i>Round 2</i>	<i>Round 3</i>	<i>Interviews (total number: 58)</i>	
						<i>Management team</i>	<i>Investor firms</i>
Altair	1997	Software	1998-Q3 DVC DCVC	2000-Q4 DVC DCVC CBVC (Sweden) CBCVC (UK) CBCVC (Germany) CBCVC (UK) Others		CEO, VP Business Development (2 interviews)	6 of 8
Antares	2000	Software	2000-Q1 DVC DVC Others	2000-Q3 DVC DVC CBVC (USA) Others		CEO, CTO	3 of 3
Betelgeuse	1999	Software	2001-Q1 DVC	2001-Q4 DVC DVC		Deputy CEO (2), CFO	3 of 3
Capella	1997	Software	2000-Q3 DVC	CBVC (Sweden) 2001-Q3 DVC		CEO, CTO (2)	2 of 2
Fomalhaut	1999	Communi- cations devices	2000-Q1 DVC	CBVC (UK) 2001-Q1 DVC	2001-Q3 DVC	Former CEO, another former CEO, CTO	3 of 3

Pollux	1997	Software	1999-Q3 CBCVC (Germany)	CBVC (UK) 2000-Q3 CBVC (USA)	CBVC (UK) CBVC (UK) 2002-Q1 CBVC (USA)	CTO, VP R&D, former VP Marketing	3 of 3
Procyon	1999	Software and related services	2000-Q2 DVC DVC	CBCVC (Germany) 2001-Q4 DVC DVC	CBVC (USA)	CEO (3)	3 of 3
Rigel	1992	Software	1997-Q4 DVC DCVC	CBVC (Sweden) 2000-Q4 DVC CBVC (USA) CBVC (UK) CBCVC (Germany) Others		CEO, CTO	2 of 4
Vega	2000	Materials for hardware	2001-Q1 CBVC (USA) CBCVC (USA) Others	2002-Q2 CBVC (USA) CBVC (USA) CBCVC (USA) Others		CEO (2)	0 of 4

Domestic investors: DVC = domestic venture capitalist, DCVC = domestic corporate venture capitalist. *Cross-border investors:* CBVC = cross-border venture capitalist, CBCVC = cross-border corporate venture capitalist. We have excluded small investors that cannot be considered as venture capitalists or are otherwise negligible for the purposes of the study. One interview was conducted in an investor firm per venture, except that in nine investor-investee dyads, two investor interviews were performed. All company names are pseudonyms.

Table 2. Local VCs’ operational participation and management team entrepreneurial experience*.

<i>Firm</i>	<i>Local VCs’ participation level to day-to-day management</i>	<i>Summary</i>	<i>Management team’s entrepreneurial experience</i>	<i>Summary</i>
Altair	Local investors, especially Aquarius, have provided relevant operational help.	Medium	Several people of management team have significant non-entrepreneurial business experience	Medium
Antares	Investors would have provided much help, but somewhat less was received due to high management team experience	Medium	An exceptionally experienced entrepreneurial team	High
Betelgeuse	Local investors have provided important help	High	CEO and Deputy CEO have extensive non-entrepreneurial experience	Medium
Capella	Capricorn has importantly helped	High	The CEO has good non-entrepreneurial experience, others have limited experience	Low
Fomalhaut	Some help has been obtained, and much more than what was obtained from CBVCs	Medium	No entrepreneurial experience; one person has had intermediate non-entrepreneurial experience	Low
Pollux Procyon	– Especially Aquarius provided significant help	No local investor High	Entrepreneurs had some entrepreneurial experience Entrepreneurs had little business and no entrepreneurial experience	Medium Low
Rigel	Zwicky did not help much; however, due to management team experience, not much help was sought	Low	An exceptionally experienced entrepreneurial team	High
Vega	–	No local investor	Entrepreneurs had little business and no entrepreneurial experience	Low

* In ‘Local VCs’ participation level to day-to-day management’, ‘high’ refers to situations where the help was considered important and of being of much use. ‘Medium’ refers to situations where less help was received than what would appeared to have been optimal for the firm. ‘Low’ refers to a situation where very little participation occurred. In ‘Management team’s entrepreneurial experience’, ‘high’ refers to management teams that have exceptional entrepreneurial experience. ‘Medium’ refers to teams with several people that have significant non-entrepreneurial business experience (which can also be of help in the sense that is relevant to the paper) and a team where the entrepreneurs had intermediate entrepreneurial experience. ‘Low’ refers to instances where a maximum of one person has significant non-entrepreneurial business experience and no one has considerable entrepreneurial experience.

Table 3. Local VCs' knowledge of local markets and local social capital, and the relevance of local markets*.

<i>Firm</i>	<i>Local VCs' knowledge of local market and contacts</i>	<i>Summary</i>	<i>Importance of local markets</i>	<i>Summary</i>
Altair	Aquarius provided some good contacts and Carina has other types of helpful contacts	Medium	Very important	High
Antares	Hydra has been more in the background and is not viewed to have good local market expertise	Low	Condition of operations in 'home base' considered important	High
Betelgeuse	Capricorn suspected to generally have local contacts, but they were not relayed to Betelgeuse apparently due to people issues; little knowledge relayed	Low	Some importance to the home market	Medium
Capella	Capricorn has excellent contacts, but especially internationally; little knowledge relayed	Low	Very important	High
Fomalhaut	For Fomalhaut, Fornax has provided good local contacts and knowledge	High	Home market not very important	Low
Pollux	–	No local investor	Direct financial gains 'irrelevant', but overall, home very important	High
Procyon	Especially Aquarius has provided good contacts and local knowledge	High	Very important, due to e.g. credibility; financially not important	High
Rigel	Zwicky has provided some important local contacts	Medium	There is much relevance to 'home base'	High
Vega	–	No local investor	There is virtually no market at home	Low

* In 'Local VCs' knowledge of local market and contacts', our classification necessarily has to be relatively much based on intuitive logic. 'High' refers to market knowledge and social capital that can be significantly beneficial for the portfolio firm. 'Medium' refers to a situation in which an investor has contacts of some relevance, but they do not have notably broad contacts. 'Low' refers instances where the investor is not viewed to have particularly good contacts or market knowledge. In some cases, an investor was believed to have more contacts but such contacts were not relevant or relayed to portfolio firms. In 'Importance of local markets', 'high' refers to the home market being particularly important. A majority of the respondents viewed the home market to have significant importance; these included respondents whose firm had relatively large needs to internationalise to grow to larger markets. 'Medium' refers to a case in which the home market has intermediate importance; this importance mainly stems from the company having premises in the 'home country'. For two firms, the importance was 'low'. In these cases, there was not much dependence of businesses in close vicinity.

Table 4. Local VCs' international social capital to venture capitalists*.

<i>Firm</i>	<i>Local VCs' contacts to CBVCs</i>	<i>Summary</i>
Altair	Aquarius and Carina considered to have rather good contacts	High
Antares	Hydra's contacts considered very good	High
Betelgeuse	Especially Capricorn perceived to have excellent contacts, Fornax some	High
Capella	Capricorn viewed to have excellent contacts	High
Fomalhaut	Fornax' viewed to have some good contacts	Medium
Pollux		No local investor
Procyon	Aquarius and Hydra's joint contacts perceived excellent	High
Rigel	Zwicky viewed to have some helpful contacts	Medium
Vega		No local investor

* The value 'high' was assigned to 'Local VCs' contacts to CBVCs' if the local investors together had good social capital to cross-border investors that were considered to be prestigious or a notably broad network of close cross-border investors. The value 'medium' was assigned in cases where a single local investor had some good contacts.

3.2 Data collection

Our data sources included interviews, observations and archival data, with interviews being the primary source. The interviews were semi-structured in order to obtain rich data from the respondents while allowing the conversation to explore new issues emerging in the interviews. As documented in table 1 all entrepreneurial respondents were members of the management team of the venture – often CEOs.

In this study, the first twelve interviews were used as a pilot study, after which revisions were made to the interview questions. All pilot study interviews are included in the total number of 58 interviews of this study. After the eighteenth interview, the interviews were tailored to include additional questions drafted specifically for each interview. These questions dealt with issues raised in the previous interviews concerning the focal case.

One rationale for adding new elements to the interview guide was that we could benefit from triangulation (Eisenhardt 1989, Miles and Huberman 1994) by asking about important phenomena from virtually all respondents in each case. Possible biases in the data, such as biases caused by potential *post-hoc* rationalization, can be reduced by such triangulation. In all of the data, there were only a few instances in which we had reason to believe that an answer was unreliable. Based on the limited new information that emerged during the last interviews of the total 58 interviews conducted and the extensive triangulation we conducted using various data sources, we are rather confident that we reached saturation in our knowledge and thus a transparent view of the true states of occurrences.

Additional questions resulted also from the preliminary data analysis. Such overlap of phases is a key feature of theory-building studies using cases, enabling adjustments during the data collection phase of the study (Eisenhardt 1989). The adjustments allow the researchers to, for instance, probe emergent themes more efficiently. This flexibility allows improvement in the quality of the results, enabling researchers to benefit from the uniqueness of the cases and the emergence of new themes (Eisenhardt 1989). In some instances, further viewpoints on the subject matter

were obtained. The interviews were tape-recorded and later transcribed, except in one case where the respondent declined to be taped.

We used field notes as another form of recording interview data. The notes facilitate the execution of data analysis concurrent with data collection (Eisenhardt 1989). These notes were written during each interview directly on a laptop computer. There are two categories of notes in the documents. First, there are brief remarks of the interviewer's insights obtained during the interviews that include syntheses. Second, there are notes of the content of virtually every answer of the respondent, with the exception of parts that were irrelevant to the studied phenomenon. Hence, the field notes comprise both observation and analysis (Eisenhardt 1989). Particular attention was paid to writing down important perceptions, such as questions regarding the correctness of the obtained data. The field notes altogether comprise more than 300 pages. We wrote necessary supplements to the field notes in the hours following the interview so that the procedure complied with the '24-hour-rule' (Miles and Huberman 1994). The average interview lasted for just over an hour, with the shortest taking 40 minutes, and some running for two and a half hours. In addition to the actual interviews, a number of respondents were called later to supplement the data.

As our secondary sources we used databases, company websites, press releases, information from the most important news outlets, and other relevant material. With some questions, this material provided an effective means for data triangulation and helped to increase the reliability and validity of the data (Miles and Huberman 1994). Before the first interview of a case, the interviewer familiarized himself with the secondary data, producing an initial version of the venture's event timeline. The initial version of the timeline supported the interview process: refreshers could be given to the respondents from the secondary data, and vice versa, the accuracy of the secondary sources could sometimes be checked.

3.3 *Data analysis*

In our data analysis, we employed procedures suggested by Eisenhardt (1989), Miles and Huberman (1994) and Eisenhardt and Graebner (2007) for building theory from cases. We started with within-case analysis, treating the cases as separate 'experiments' (Eisenhardt 1989, Eisenhardt and Graebner 2007) that can serve as replications, contrasts, and extensions to the emerging theory. We reviewed the timelines that had been built for the cases, supplementing them when necessary. We also compared them with other records of data and the analyses and syntheses made by the interviewer in his notes. Concepts were identified by writing notes in our detailed interview memoranda and other review and analysis papers. This process involved numerous discussions and reviews of text and different tables that had been constructed to depict and reduce data as advised by Miles and Huberman (1994). This process resulted in a detailed view of each case. Such a view may mitigate the difficulty that cross-case analysis may pose to researchers analysing a large set of data (Eisenhardt 1989).

In a cross-case analysis (Eisenhardt 1989), we tried to find similarities and differences from sets of two or more cases. We also compared cases that appeared to be similar to discover patterns that might have gone unnoted previously. New categories and concepts emerged as a result of cross-case analysis. We often returned to our notes, other material and literature to refine and verify our classifications. This rotation among literature, data and emergent insights is an essential ingredient of grounded

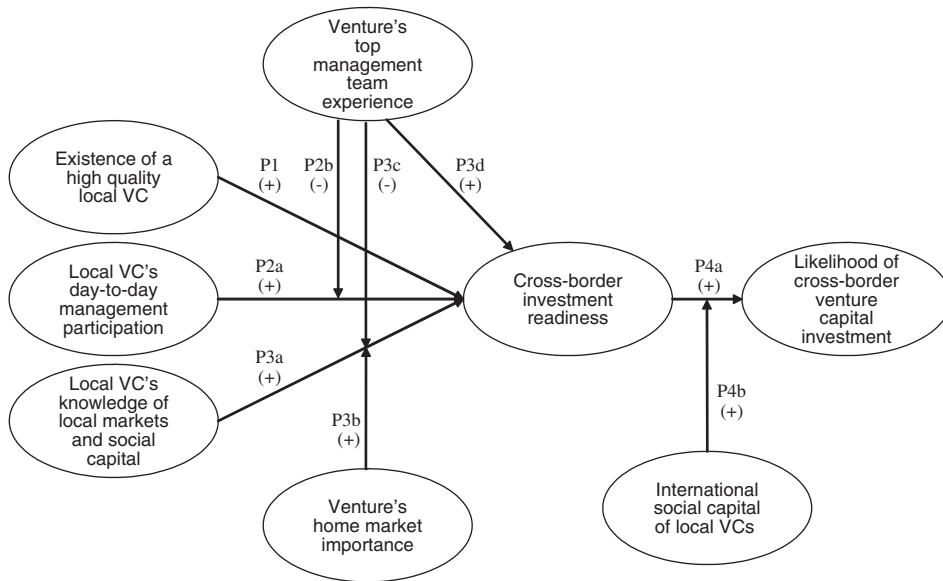


Figure 1. An integrated model of the role of a local investor in the creation of cross-border venture capital syndicates.

theory research called for in the guidelines of Eisenhardt (1989) and Strauss and Corbin (1998). We continuously sought to raise the level of abstraction, using the data and prior literature in our consideration of the emerging findings. Comments from our colleagues were used to test and supplement our thinking. We believe that as an outcome of this iterative process, the constructs and their inter-linkages became sharper and their grounding in the data was corroborated.

Once something that prominent authorities suggested avoiding (Glaser and Strauss 1967), researchers now keep abreast of existing literature. According to the current dominant understanding of the grounded theory process, the possession of such knowledge is essential for the success of research in the case of grounded theory as well (Eisenhardt 1989) because it allows researchers to focus on the research question, define possible *a priori* constructs, constantly compare the emerging framework with literature, and guide the analysis process. Earlier literature of various fields gave us the basis on which to build our model. According to the spirit of grounded theory inquiry (Glaser and Strauss 1967), no *ex ante* hypotheses were used. During the process, several versions of the integrative model were discussed. Finally, through this iterative process, we ended up with the model introduced in the next section and in figure 1.

4. A model of the role of local venture capital investors in the formation of cross-border venture capital syndicates

Figure 1 presents the model of the role of local venture capital investors in the formation of cross-border venture capital syndicates that emerged from our in-depth analysis of nine cross-border venture capital backed companies.

In the following subsections, we detail how the data and its analysis lead to the emergence of the model. We provide illustrative vignettes in our text and in tables 2–4, which systematically cover the cases providing description of the data. Figure 1 ties the evidence together and forms an integrated model of the key findings and emerged propositions. In tables 2–4, the cases' attributes are qualitatively summarized by a division into three or four levels along each of the dimensions. Given that Pollux and Vega do not have a local investor, they do not obtain remarks in all columns. For firms that have several local investors, the attributes in the table refer to the combined effect of local investors.

4.1 *The existence of a high quality local investor*

The key observation from our cases is that local venture capitalists typically invest in a venture first, followed by co-investments from foreign venture capital investors in later rounds (table 1 shows the evolution of the investor base in our sample companies). High quality local venture capital improves the *cross-border investment readiness* of the venture (its degree of maturity for receiving cross-border venture capital investments).³ The following quote from a foreign VC illustrates the role of trusted local investors in reducing the challenges stemming from long distances and different language, culture and legislation and thereby enabling cross-border investments:

The contribution of the local investor is very important. It is very important to be physically close. Geography and culture have an effect. We would not invest without a local investor. Good ventures probably always have a local VC. The local investor also knows a lot about the law. They have important information on the local market. – We are interested especially in those firms in which our [local] trusted prior acquaintances have invested.

We find in our cases that the value-added contributions and simply the existence of a local investor seem to be of the utmost importance to many ventures seeking cross-border investors. Therefore we propose:

Proposition 1: Existence of a high quality local VC will increase the venture's cross-border investment readiness.

Although as a rule cross-border investors were preceded by domestic investors for the reasons mentioned above, there were two 'anomalies', that is, cases in which there were foreign investors without local investors (Vega and Pollux). These two cases helped us to consider the exact mechanisms through which domestic investors add value and help to attract cross-border investors. The cases also enabled us to understand the circumstances under which the role of domestic investors is reduced. The following vignette illustrates many of the arguments:

Pretty often, especially these days, if a Finn [an entrepreneur] directly approaches international investors, one may wonder what is wrong in this case – because no money has been found from the home country. Is there something wrong? Only a top person can actually go to London and get money from there without having any locals [venture capitalists] with him – if the international investor ends up making the investment, they will want to see a local investor participate as well from the beginning on, because it guarantees that there are no surprises in the background.

In the following sections we will discuss in more detail how domestic investors add value and help to attract foreign investors as well as how under certain circumstances the role of domestic investors is mitigated.

4.2 *Local venture capitalists' management participation*

In each of the cases where there is a local investor, the local investor has participated in the management of the venture (table 2). A key contribution of a local venture capitalist is advice in the numerous operative decisions of a general nature for venture capital financed firms. Short geographical distance, understanding of the local context and the lack of cultural, language or time zone differences often make such operative interaction easier. The following quote from a foreign investment manager describes the importance of the local investor's efforts and the role that day-to-day support given to the entrepreneurial team plays:

Normal day-to-day support and administrative support should be done by the local investor. But in business development and such things, both investors [local and foreign] will have to participate as much as possible.

Lack of a local investor in one case forced the cross-border investors to contribute more resources to day-to-day management than what they would have done if there had been a local investor. An investment manager also acknowledged to the interviewer that such participation was more difficult from abroad and would best be done by a local investor, as illustrated by vignettes in the previous section. In the other case, the entrepreneurs thought that they needed to do more by themselves.

If the entrepreneurs have significant prior experience as top management of independent business, they need less operational advice. This phenomenon is well materialized in the cases of Antares and Rigel, where the need for investors' advice has often been low, including the need for support in internationalization-related decisions. We advance the following two propositions.

Proposition 2a: Existence of a local VC that can add value by advising the entrepreneurial team on operational issues will increase the venture's cross-border investment readiness.

Proposition 2b: Entrepreneurial experience of the management team will decrease the need for the day-to-day management contribution of a local VC.

4.3 *Local venture capitalists' knowledge and social capital and the entrepreneurial experience of the venture management team*

The data also suggest that local investors have an important role in increasing the knowledge base and social capital of their investee ventures on issues related to home markets (table 3). Knowledge of markets in foreign locations of expansion has been previously termed 'foreign organizing knowledge' (cf. Johanson and Vahlne 1990). To distinguish the knowledge of domestic markets from the knowledge of foreign markets we use the term *local organizing knowledge*. Similarly, we distinguish *local social capital* from *international social capital*.

It should be noted that despite the apparent importance of local investors, there seem to be ventures for which the home market is important neither as a notably large market nor as a launching pad for international or global operations. For such ventures, local investors cannot provide much help with their market knowledge and social capital. Vega is a good example of such a case: they have been able to obtain cross-border investors without local investors owing to the excellent international prospects of their business. The significance of the home market is negligible to them. They do not have a local investor, even though a local could have helped in some operational decisions.

Significant prior entrepreneurial experience of the management team may also provide the firm with much of the necessary resources in the local market. Antares and Rigel have had notably experienced managers from the beginning. Home markets are important for both companies, yet we do not view their key local investors as having very deep knowledge or social capital in the local market.

An important observation stemming from the analysis of the two cases that did not have domestic investors (Vega and Pollux) and supported by other evidence is that the managers' previous entrepreneurial experience directly affects the venture's investment readiness, promoting it. Correspondingly, when the management team possesses significant experience, the operational participation of the local venture capitalists will be of marginal use to the venture, because the benefit is already gained via 'in-house' resources. The following propositions synthesize the evidence.

Proposition 3a: Existence of a local VC providing the required local organizing knowledge and local social capital in the home market of the investee firm will increase the venture's cross-border investment readiness.

Proposition 3b: Low importance of the local market to the investee firm's business will decrease the importance of a local venture capital investor providing local organizing knowledge and local social capital.

Proposition 3c: Significant entrepreneurial experience of the management team will decrease the importance of a local venture capital investor providing local organizing knowledge and local social capital.

Proposition 3d: Significant entrepreneurial experience of the management team will directly increase the cross-border investment readiness of the venture.

4.4 *The effect of local venture capitalists' international social capital*

We have discussed several factors that, according to the theoretical framework advanced in this paper, explain the cross-border investment readiness of a venture. Such readiness makes an investment feasible. In our model, cross-border investment readiness represents the potential for receiving cross-border investments, thereby improving the likelihood of such investment. Therefore, we make a proposition:

Proposition 4a: Cross-border investment readiness increases the likelihood of receiving a cross-border investment.

As is evident from the above, being ready for a cross-border investment does not guarantee getting it. In our cases, the international social capital of local investors had played an important role in making the investment happen. In other words,

investment readiness creates the potential for a cross-border investment and international social capital helps to realize that potential.

By international social capital (Yli-Renko *et al.* 2002) we refer in this context to social capital (Coleman 1990, Nahapiet and Ghoshal 1998) that a local investor possesses towards cross-border venture capitalists. (For the portfolio companies, these ties between their domestic investors and potential foreign venture capitalists can be considered as international ‘weak ties’, see Granovetter 1973.) Venture capitalists are typically well networked with other venture investors. When ventures are investment ready, that is, feasible cross-border investment targets, their local investors can promote them to the international investors in their syndication networks and thereby facilitate cross-border investments in their portfolio companies. The evidence concerning the local venture capitalists’ international social capital is provided in table 4.

It is a common practice for certain venture capitalists to promote their portfolio companies to their international colleagues in order to facilitate creation of international syndicates and thereby support the internationalization of the portfolio companies. The greater the international social capital of the local investors, the higher the chances that they will find an international investor to make a syndicated cross-border investment. This facilitative role of local investors increases the visibility of the portfolio companies and lowers the barriers of cross-border investors to make an investment. The following proposition is advanced.

Proposition 4b: A local venture capitalist’s international social capital that connects it to international investors increases the impact of cross-border investment readiness on the likelihood of receiving a cross-border investment.

5. Discussion

In this study, we set out to examine how ventures are able to attract cross-border venture capitalists to invest in them and what role do their local venture capital investors play in this process. We found that a local venture capital investor often has an important role in attracting cross-border investors and in improving the cross-border investment readiness of the venture – not only by its contacts and knowledge but by taking care of certain responsibilities that are often easier to manage from a proximate location. Based on our in-depth analysis of nine ventures with cross-border venture capital investors, we developed a model, presented in figure 1, which explains the role of a domestic venture capital investor in attracting foreign investors and which also accounts for the impact of various circumstances on the importance of this role.

Our findings and the resulting conceptual model contribute to several areas of prior research. First, prior research on venture capital policy has increasingly paid attention to the demand side and acknowledged the importance of investment readiness (Mason and Harrison 2001, Baygan 2003). Extending the prior research that has examined investment readiness in the context of domestic VC investments, our findings show that cross-border setting creates additional challenges for ventures. The idea of cross-border investment readiness is introduced and we show how local venture capital investors can have an important role in facilitating cross-border venture capital investments. We have proposed that in addition to having certain responsibilities in the management of portfolio companies, local venture capitalists

may influence the investment selection of cross-border investors. A cross-border venture capitalist may view the existence of a respected local venture capitalist as a positive signal certifying the quality of the venture. This finding is well in line with prior research on inter-organizational endorsement (Stuart *et al.* 1999), where it has been shown that in decisions concerning unknown and uncertain ventures, external parties infer the quality of the venture from the affiliates of the venture.

Concerning the circumstances under which local investors are important for attracting cross-border investors, we found that the importance is decreased if the entrepreneurial team possesses significant prior entrepreneurial experience. This finding is in line with prior research: entrepreneurial experience reduces the value-added benefits from venture capital in domestic contexts (Sapienza 1992). Furthermore, our results support the intuitive notion that if the home market is not very important in terms of sales or as a launching pad of international operations (cf. Kuemmerle 2002), local investors' contacts or knowledge of the market are not highly essential.

Finally, we found that the contacts of local investors to cross-border investors are also a key resource that they can contribute to the venture. The international social capital of the local venture capital investors is an important facilitator of cross-border venture capital investments, which supports the findings in the emerging literature on the effects of international social capital on resource acquisition (Arenius and Autio 2002, Autio 2005). The model we have developed in this paper is to our knowledge the first model that provides an explanation of the role of domestic investors in attracting cross-border venture capital, and appears to explain quite well how and under which circumstances domestic investors can facilitate cross-border investments.

Concerning implications to broader contexts, our model of the local investor's role in the formation of international syndicates may have validity when applied in other contexts of international interorganizational ties and networks. The model suggests that obtaining cross-border interorganizational ties may be facilitated by respected local affiliate actors that can be expected to make sure that the 'home base' (Kuemmerle 2002) is in proper order and can thus support internationalization efforts. As a key effect, having respected local partners (such as venture capital investors, see Hsu 2004) can be a positive *signal* (Spence 1973) of the quality of the focal actor, providing endorsement (Podolny 1993, 1994, Stuart *et al.* 1999) and facilitating cross-border partnering. Signalling is needed due to information asymmetries (Akerlof 1970) faced by distant actors.

When interpreting the results, there are some caveats to be recognized. In our research, we focused on investments made in one country, Finland. Although prior comparative research suggests that venture capitalists operate quite similarly in different countries (Sapienza *et al.* 1996, Manigart *et al.* 2002, 2006), there certainly may be some country-specific differences in their behaviour (Wright *et al.* 2002, Pruthi *et al.* 2003). Finland is an innovative, small and open economy with a relatively young venture capital market and small home market for rapidly growing ventures. International aspects are therefore particularly emphasized in Finnish ventures and venture capital investments. Therefore, additional research in multiple countries could examine how the roles of local investors are influenced by country-specific factors. Furthermore, the new construct of cross-border investment readiness embodies a measurement challenge: evaluation of cross-border investment readiness is necessarily much dependent of the ability to be objective in judgement.

Future research could test the propositions of the model using large-scale empirical testing, helping to thoroughly establish the domain of external validity of the results across geographical areas, and likewise across topical boundaries so that broader theoretical implications can be tested. A representative sample containing ventures that have tried but failed to raise cross-border venture capital would help to analyse more accurately the role of local investors in raising cross-border venture capital.

Given the important role of international investors for internationalizing ventures (cf. Mäkelä and Maula 2005, Wright *et al.* 2005), understanding how companies can access international finance with the help of their local partners is an important question with implications to both practices of venturing and venture capital (Wright *et al.* 2005) and to the emerging theory on internationalization and international social capital (Autio 2005). We hope this research will inspire additional research on cross-border venture capital and on the role of international social capital and endorsements in the formation of inter-organizational ties and networks in international settings.

Notes

1. For instance, Baygan and Freudenberg (2000) found that investments going to firms in Denmark and Ireland were more than four times as important as investments managed by venture capital funds located in these countries in 1999.
2. Among the few exceptions are the study by Baygan and Freudenberg (2000), which examines cross-border venture capital investments on a macro-level as annual capital flows across national borders, the study by Hall and Tu (2003), which examines the impact of fund characteristics on the decision to invest abroad, and the study by Guler and Guillén (2005) that examines the institutional determinants and experience effects on the decision to invest abroad. For a recent review of the emerging literature on cross-border venture capital, see Wright *et al.* (2005).
3. For a discussion on the concept investment readiness, see Mason and Harrison (2001) and Baygan (2003). With the term *cross-border investment readiness*, we want to highlight the specific challenges in cross-border investments and refer to the special case of readiness to receive an investment from foreign investors as opposed to readiness to receive an investment from local investors.

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